

# UGC NET Economics — PYQs

## Unit 7 — International Economics

146 questions · 14 papers (Dec 2018 – Dec 2025) · English only · with options · no answers

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Source: UGC NET Economics (Paper II) question papers / response sheets in D:\DIVYANSHU\09 UGC NET ECONOMICS\PYQ (Dec 2018 – Dec 2025; duplicate files skipped). Questions are grouped by the UPHESC Assistant Professor Economics syllabus units; original paper and question number shown next to each question. English only · with options · no answers. Micro (Unit 1) questions are in the separate Micro PDF. Dec 2019 paper file ends at Q145 (Q146–150 not in the source).

## Unit 7 — International Economics

### UGC NET December 2018

**Q1.** Global Competitiveness Report is released by which of the following organisations? [December 2018 · Q.104]

- (1) World Trade Organisation
- (2) World Economic Forum
- (3) European Union
- (4) World Bank

**Q2.** Balance of payments on capital account does not include [December 2018 · Q.106]

- (1) Balancing foreign direct investment
- (2) Foreign portfolio investment
- (3) Net income transfers
- (4) Government loans to foreign governments

**Q3.** Devaluation will be more effective when [December 2018 · Q.107]

- (i) International capital is freely mobile
- (ii) International capital is not freely mobile
- (iii) Marginal propensity to import is high

Which of the above statements is/are correct?

Choose the correct answer from the code given below:

- (1) Only (ii)
- (2) Only (iii)
- (3) (i) and (iii)
- (4) (ii) and (iii)

**Q4.** If  $(K/L)_A > (K/L)_B$ , then [December 2018 · Q.108]

- (1) Country A is labour abundant
- (2) Country A is having cheap labour
- (3) Country A is capital abundant
- (4) Capital is dear in country A

**Q5.** Opportunity cost theory assumes that [December 2018 · Q.109]

- (1) Labour is the only factor of production.
- (2) Labour is homogeneous.
- (3) Cost of commodity is equal to labour cost only.
- (4) None of the above

**Q6.** Historically the terms of trade of the developing countries have been unfavourable due to the fact that when income in developed countries rises, the demand for primary goods declines because [December 2018 · Q.110]

- (1) Income elasticity of demand for primary goods is low.
- (2) Income elasticity of demand for primary goods is zero.
- (3) Income elasticity of demand for primary goods is high.
- (4) Price elasticity of demand for primary goods is high.

**Q7.** Consider the following statements in the context of the New Trade Theory: [December 2018 · Q.111]

- (i) It explains why countries trade in similar goods.
- (ii) It assumes free trade.
- (iii) It assumes that trade takes place in monopolistic conditions.
- (iv) It exploits the economies of scale in production.

Which of the above statements are correct?

Choose the correct answer from the code given below:

- (1) (i), (iii) and (iv)
- (2) (ii) and (iv)
- (3) (i) and (iii)
- (4) (i) and (ii)

**Q8.** Intellectual Property Rights include [December 2018 · Q.112]

- (1) Patents
- (2) Copyrights
- (3) Trademark
- (4) All of the above

**Q9.** Which of the following is the appropriate measure of openness of the economy? [December 2018 · Q.113]

- (1) Exports/Imports
- (2) Exports – Imports
- (3) (Exports + Imports)/GDP
- (4) (Exports – Imports)/Population

### UGC NET June 2019 (21 June 2019, Shift 1)

**Q10.** A foreign exchange risk involves the transaction exposure, the accounting exposure and [June 2019 S1 · Q.75]

- (1) the translation exposure
- (2) the flexibility exposure
- (3) the rigidity exposure
- (4) the economic exposure

**Q11.** Three pillars of the Asia-Pacific Economic Cooperation (APEC) are [June 2019 S1 · Q.76]

- (a) trade and investment liberalization
- (b) business facilitation
- (c) economic and technical cooperation
- (d) military cooperation

Choose the correct option :

- (1) (a), (b), (d)
- (2) (a), (b), (c)
- (3) (a), (c), (d)
- (4) (b), (c), (d)

**Q12.** The excess supply of a commodity above the no-trade equilibrium price gives one nation's [June 2019 S1 · Q.77]

- (1) import demand for the commodity
- (2) export supply and import demand for the commodity
- (3) export supply of the commodity
- (4) import supply of the commodity

**Q13.** Which one of the following items is included in the Capital Account of the balance of payments of a country? [June 2019 S1 · Q.78]

- (1) Investment income
- (2) Invisibles
- (3) Commercial borrowings
- (4) Private transfer

**Q14.** In the Balance of Payments Account, the transfer payments are included in which one of the following? [June 2019 S1 · Q.79]

- (1) Capital Account
- (2) Service Account
- (3) Current Account
- (4) Official Reserves Account

**Q15.** Calculate the rate of effective protection by using the formula  $g = (t - a_i \cdot t_i) / (1 - a_i)$  if  $g = 0.3$ ,  $a_i = 0.8$  and  $t_i = 0$ , then the value of  $t$  is [June 2019 S1 · Q.80]

- (1) 0.2
- (2) 0.3
- (3) 0.1
- (4) 0.4

**Q16.** The provision under the membership clause of the IMF is that any country can become a member, if [June 2019 S1 · Q.81]

- (1) the country is willing to be a member of the World Bank and willing to pay all subscriptions in gold
- (2) the country is willing to be a member of the WTO and willing to pay all subscriptions in gold
- (3) the country is willing to be a member of the World Bank and willing to pay subscription
- (4) the country is willing to be a member of UNO and willing to pay subscription

**Q17.** According to Marshall-Lerner condition for the foreign exchange market to be stable, the sum of the elasticities of demand for imports and the demand for exports should be [June 2019 S1 · Q.82]

- (1) less than 1
- (2) equal to zero
- (3) equal to 1
- (4) more than 1

**Q18.** The commodity or Net Barter Terms of trade are represented by the formula [June 2019 S1 · Q.83]

- (1) (quantity of exports / quantity of imports)  $\times$  100
- (2) (price  $\times$  quantity of exports / price  $\times$  quantity of imports)  $\times$  100
- (3) (volume of exports / volume of imports)  $\times$  100
- (4) (price index of exports / price index of imports)  $\times$  100

**Q19.** 'Immiserizing growth' is the term given by [June 2019 S1 · Q.84]

- (1) Amartya Sen
- (2) N. Kaldor
- (3) Paul Krugman
- (4) Jagdish Bhagwati

**Q20.** Under TRIPS protection for copyrights is for [June 2019 S1 · Q.126]

- (1) 20 years after death of the author
- (2) 30 years after death of the author
- (3) 40 years after death of the author
- (4) 50 years after death of the author

### UGC NET December 2019 (3 Dec 2019, Shift 1)

**Q21.** If in a given situation,  $P_x = 170$ ,  $P_m = 190$  and  $Z_x = 152$ , then which of the following will be the value of Single Factoral Terms of Trade (Ts): [December 2019 S1 · Q.67]

- (1) 136
- (2) 148
- (3) 84
- (4) 116

**Q22.** Which trade policy results in the government levying both a specific tariff and an advalorem tariff on imported goods? [December 2019 S1 · Q.68]

- (1) Effective tariff
- (2) Revenue tariff
- (3) Compound tariff
- (4) Nominal tariff

**Q23.** Heckscher-Ohlin trade model maintains that: [December 2019 S1 · Q.69]

- (1) Comparative advantage determines the distribution of the gains from trade
- (2) A country exports goods for which its resource endowments are most suited
- (3) Absolute Advantage Theory determines the distribution of the gains from trade
- (4) The division of labour is limited by the size of the world market

**Q24.** A tax of Rs. 20 per unit of imported cheese would be an example of a/an: [December 2019 S1 · Q.70]

- (1) Compound tariff
- (2) Specific tariff
- (3) Effective tariff
- (4) Advalorem tariff

**Q25.** For oil importing countries, the increase in oil prices in 1970's and mid 2000 contributed to which of the following: [December 2019 S1 · Q.99]

- (a) Improving terms of trade
- (b) Balance of trade deficits
- (c) Price inflation
- (d) Constrained economic growth

Choose the correct answer from the codes given below:

- (1) (a), (b) and (c) only
- (2) (b), (c) and (d) only
- (3) (c), (d) and (a) only
- (4) (a) and (d) only

**Q26.** Which one of the following institutions is related with the Green/Blue Box Subsidies? [December 2019 S1 · Q.109]

- (a) United Nations
- (b) World Bank
- (c) World Tourism Organization
- (d) World Trade Organization

Choose the correct option from those given below:

- (1) (a) and (d)
- (2) (b) and (d)
- (3) Only (d)
- (4) Only (b)

**Q27.** Match the following: [December 2019 S1 · Q.115]

| List - I             | List - II                                                                                                                             |
|----------------------|---------------------------------------------------------------------------------------------------------------------------------------|
| (a) Forward Exchange | (i) A device of covering exchange risk against the price rise of foreign currency                                                     |
| (b) Hedging          | (ii) A contract to buy and sell foreign exchange against another currency at some fixed rate in the future at a price agreed upon now |
| (c) Arbitrage        | (iii) The movement of exchange rate between two limits set by the cost of moving gold from one country to another                     |
| (d) Specie point     | (iv) A mechanism which makes two markets that are physically separate, a single market in the economic sense.                         |

Choose the correct option from those given below:

- (1) (a)-(ii), (b)-(i), (c)-(iv), (d)-(iii)
- (2) (a)-(ii), (b)-(iii), (c)-(iv), (d)-(i)
- (3) (a)-(iv), (b)-(i), (c)-(ii), (d)-(iii)
- (4) (a)-(iv), (b)-(iii), (c)-(ii), (d)-(i)

**Q28.** Arrange the following theories of international trade in chronological order as they appear:

[December 2019 S1 · Q.125]

- (a) Theory of Opportunity Cost
- (b) Theory of Comparative Cost
- (c) Factor Price Equalisation Theorem
- (d) Theory of absolute cost

Identify the correct chronological order.

- (1) (d), (b), (a), (c)
- (2) (c), (b), (d), (a)
- (3) (b), (d), (a), (c)
- (4) (a), (c), (d), (b)

**Q29.** Given below are two statements — one is labelled as Assertion (A) and the other is labelled as Reason (R): [December 2019 S1 · Q.135]

Assertion (A): Intellectual Property Rights were brought into the Uruguay Round Trade Negotiations

Reason (R): International trade restrictions can be used to discourage the violation of intellectual property rights.

In the light of the above two statements choose the correct option:

- (1) Both (A) and (R) are true and (R) is correct explanation of (A)
- (2) Both (A) and (R) are true and (R) is not correct explanation of (A)
- (3) (A) is true but (R) is false
- (4) (A) is false but (R) is true

### UGC NET June 2020 (exam held 30 Sep 2020, Shift 2)

**Q30.** In the study of International Economics, we use the tools of [June 2020 S2 · Q.93]

- (1) Microeconomic theory only
- (2) Macroeconomic theory only
- (3) Neither micro nor macro economic theory
- (4) Both micro and macro economic theory but we all extend, adapt and integrate them

**Q31.** Match List I with List II [June 2020 S2 · Q.94]

| List - I                                             | List - II           |
|------------------------------------------------------|---------------------|
| (A) Absolute Advantage Theory of International Trade | (I) Heckscher-Ohlin |
| (B) Factor Proportion Theory of Trade                | (II) Marshall       |
| (C) Offer Curves                                     | (III) Adam Smith    |
| (D) Opportunity Costs                                | (IV) Haberler       |

Choose the correct answer from the options given below:

- (1) A - I, B - III, C - II, D - IV
- (2) A - III, B - I, C - II, D - IV
- (3) A - I, B - III, C - IV, D - II
- (4) A - III, B - I, C - IV, D - II

**Q32.** Transportation cost of trade effects: [June 2020 S2 · Q.95]

- (A) Pattern of trade
- (B) Boundaries between tradable and non-tradable goods
- (C) Global supply chains
- (D) Boundaries of non-tradable goods

Choose the correct answer from the options given below:

- (1) A and B only
- (2) A, B and C only
- (3) A, B, C and D only
- (4) D only

**Q33.** Given below are two statements, one is labelled as Assertion A and the other is labelled as Reason R [June 2020 S2 · Q.96]

Assertion A: Marshall-Lerner condition should be fulfilled for the success of devaluation

Reason R: Devaluation makes exports costly and Imports cheaper

In light of the above statements, choose the most appropriate answer from the options given below

- (1) Both A and R are correct and R is the correct explanation of A
- (2) Both A and R are correct but R is NOT the correct explanation of A
- (3) A is correct but R is not correct
- (4) A is not correct but R is correct

**Q34.** Forward exchange rates are useful for those who wish to [June 2020 S2 · Q.97]

- (A) Protect themselves from the risk that the exchange rate will change before a transaction is completed
- (B) Gamble that a currency will rise in value
- (C) Gamble that a currency will fall in value
- (D) Exchange currencies at a point in time in the future

Choose the correct answer from the options given below:

- (1) A, B and C only
- (2) A and B only
- (3) A and C only
- (4) A, B, C and D only

**Q35.** Overshooting model of exchange rate developed by economist Rudi Dornbush, attempts to establish [June 2020 S2 · Q.98]

- (1) The fact why the foreign exchange market is never in equilibrium
- (2) Relationship between sticky prices and volatile exchange rates
- (3) The fact that forward rates of exchange are not good predictors of future spot rates of exchange
- (4) No relationship between sticky prices and volatile exchange rates

**Q36.** Changes in terms of trade typically put less developed countries at a disadvantage, because

[June 2020 S2 · Q.99]

- (1) They specialize and trade in agricultural goods rather than manufactured goods
- (2) They have higher labour costs
- (3) They specialize and trade in services like tourism
- (4) Industrialized countries practice unfair trade with less developed countries

**Q37.** Match List I with List II [June 2020 S2 · Q.100]

| List - I                       | List - II                                                |
|--------------------------------|----------------------------------------------------------|
| (A) Rybezynski Theorem         | (I) The effect of tariffs on factor prices               |
| (B) Metzler effect             | (II) The effect of factor growth on production and trade |
| (C) Stolper-Samuelson Theorem  | (III) The effect of tariffs on domestic prices           |
| (D) Immiserising growth theory | (IV) The effect of growth on terms of trade              |

Choose the correct answer from the options given below:

- (1) A - II, B - III, C - I, D - IV
- (2) A - IV, B - III, C - I, D - II
- (3) A - IV, B - I, C - III, D - II
- (4) A - II, B - I, C - III, D - IV

**Q38.** Given below are two statements [June 2020 S2 · Q.101]

Statement I: The Rybczynski theorem postulates that at constant commodity prices, an increase in the endowment of one factor will increase by a greater proportion the output of the commodity, intensive in that factor and will reduce the output of the other commodity

Statement II: The Stolper-Samuelson theorem postulates that an increase in the relative price of a commodity (for example as a result of a tariff) decreases the return or earnings of the factor used intensively in the production of the commodity

In light of the above statements, choose the correct answer from the options given below

- (1) Both Statement I and Statement II are true
- (2) Both Statement I and Statement II are false
- (3) Statement I is correct but Statement II is false
- (4) Statement I is correct but Statement II is true

**Q39.** Which one of the following is NOT the objective of IMF? [June 2020 S2 · Q.102]

- (1) To promote international monetary cooperation
- (2) To ensure balanced international trade
- (3) To ensure exchange rate stability
- (4) To provide loans to the private sector

### UGC NET December 2020 & June 2021 (merged cycle, exam Nov 2021)

**Q40.** The Net Barter terms of trade refer to: [December 2020 · Q.19]

- (1) The excess of import expenditures over export earnings
- (2) Trade agreements
- (3) The ratio between export prices and import prices
- (4) The terms and conditions on which a country is offered a loan in the event of balance of payments difficulties

**Q41.** The items on the capital account of Balance of Payments are: [December 2020 · Q.20]

- (1) Flow variables
- (2) Stock variables
- (3) Changes in stock magnitudes
- (4) Both Stock and Flow variables

**Q42.** A sudden shift from import tariffs to free trade may induce short-term unemployment in:

[December 2020 · Q.21]

- (1) Import competing industries
- (2) Industries that are only exporters
- (3) Industries that sell domestically as well as export
- (4) Industries that neither import or export

**Q43.** The optimum tariff means: [December 2020 · Q.22]

- (1) Must occur in the elastic range of the tariff imposing home country's offer curve
- (2) Takes account of the probability that the partner country will retaliate with protective measures of its own
- (3) Maximises total export sales of the imposing country
- (4) Must occur in the elastic range of the partner country's offer curve

**Q44.** When the exchange rate changes from 1\$ = Rs. 72 to 1\$ = Rs. 68, then the: [December 2020 · Q.47]

- (A) Rupee has depreciated
- (B) Dollar has depreciated
- (C) Rupee has appreciated
- (D) Dollar has appreciated

Choose the correct answer from the options given below:

- (1) A and D only
- (2) B and C only
- (3) C and D only
- (4) A and B only

**Q45.** Improvement in the balance of payments deficit may be effected through: [December 2020 · Q.60]

- (A) Import controls
- (B) Export promotion
- (C) Foreign exchange control
- (D) Devaluation

Choose the correct answer from the options given below:

- (1) A, B, C and D
- (2) A and B only
- (3) C and D only
- (4) A, B and C only

**Q46.** Which of the following are relevant conditions assumed by the Factor Price Equalization theorem? [December 2020 · Q.61]

- (A) The countries are characterized by different factor endowments
- (B) The countries are characterized by different production functions
- (C) The industries are characterized by different factor intensities
- (D) Each country will export the commodity which uses its abundant factor

Choose the correct answer from the options given below:

- (1) A, B and C only
- (2) A, C and D only
- (3) A, B and D only
- (4) B, C and D only

**Q47.** Match List I with List II [December 2020 · Q.70]

| List - I                                    | List - II                          |
|---------------------------------------------|------------------------------------|
| (A) Supply side of International Trade      | (I) David Ricardo                  |
| (B) Demand side of International Trade      | (II) Bastable and Alfred Marshall  |
| (C) Opportunity cost of International Trade | (III) G. Haberler                  |
| (D) Real cost theory of International Trade | (IV) Alfred Marshall and Edgeworth |

Choose the correct answer from the options given below:

- (1) A - I, B - IV, C - II, D - III
- (2) A - IV, B - I, C - II, D - III
- (3) A - I, B - IV, C - III, D - II
- (4) A - IV, B - I, C - III, D - II

**Q48.** What is the CORRECT sequence of the following? [December 2020 · Q.79]

- (A) Uruguay Round
- (B) Kennedy Round
- (C) Doha Round
- (D) Geneva Round

Choose the correct answer from the options given below

- (1) D, B, A, C
- (2) B, D, C, A
- (3) A, B, C, D
- (4) C, A, B, D

**Passage / data for Q.96-100** (December 2020)

One argument of protection that stands up to close economic scrutiny is the infant-industry argument. It holds that a nation may have a potential comparative advantage in a commodity, but because of lack of knowledge and the initial small level of output, the industry cannot successfully compete with more established foreign firms. The infant-industry argument for protection is correct but requires several important qualifications. First, such an argument is more justified for developing nations, where capital markets may not function properly. Second, as experience has shown that protection, once given, is difficult to remove. Third, what trade protection in the form of import tariff can do an equivalent production subsidy to the infant industry can do better. The reason is that a purely domestic distortion such as this should be overcome with a purely domestic policy such as direct production subsidy to the infant industry. A production subsidy is also a more direct form of aid and it is easier to remove than an import tariff. A better policy would be to provide a direct subsidy to the industry. Similarly, a direct tax would also be better than a tariff to discourage activities that give rise to external diseconomies because the tax does not distort relative prices and consumption.

**Q49.** Which is the most appropriate instrument of trade protection? [December 2020 · Q.96]

- (1) Import tariff
- (2) Export tariff
- (3) Non-tariff barriers
- (4) Production subsidy

**Q50.** Developing countries are characterised by: [December 2020 · Q.97]

- (1) Absence of both money markets and capital markets
- (2) Improper functioning of the capital markets
- (3) Improper functioning of money markets
- (4) Absence of capital markets

**Q51.** The obstacles for an industry to compete with more established foreign firms are due to:

[December 2020 · Q.98]

- (1) Lack of know-how and initial small level of output
- (2) Lack of flexibility
- (3) Lack of markets
- (4) Lack of human resources

**Q52.** Which of the following is effective in preventing external diseconomies [December 2020 · Q.99]

- (1) Trade policies
- (2) Production subsidies
- (3) A direct tax
- (4) Tariff

**Q53.** Which of the following is a direct aid to domestic industry? [December 2020 · Q.100]

- (1) Import controls
- (2) Import quota
- (3) Production subsidy
- (4) Patent rights

### **UGC NET December 2021 & June 2022 (merged cycle, exam Oct 2022)**

**Q54.** The "tequila effect" indicates : [December 2021 · Q.19]

- (1) The spread of the 1994-95 Mexican crisis to other countries in Latin America
- (2) The spread of the 1997 crisis in Thailand to other countries in Asia
- (3) The supreme crisis emerged in 2007 in the United State
- (4) The domestic debt crisis occurred in Argentina in 1989

**Q55.** In which stage of the product cycle model, the imitating country starts producing the product for domestic consumption? [December 2021 · Q.20]

- (1) Stage - III
- (2) Stage - II
- (3) Stage - I
- (4) Stage - V

**Q56.** What does the result of the first empirical test of the Heckscher-Ohlin model by Wassily Leontief find? [December 2021 · Q.21]

- (1) U.S. exports were less capital-intensive than U.S. imports
- (2) U.S. exports were more capital-intensive than U.S. imports
- (3) U.S. exports were more human capital-intensive than U.S. imports
- (4) All the above

**Q57.** Which of the following is correct? [December 2021 · Q.47]

- (A) The gross barter terms of trade uses quantity index for imports and exports
- (B) Both gross barter terms of trade and net barter terms of trade make use of the price index for imports and exports
- (C) The net barter terms of trade uses price index for imports and export
- (D) Both gross barter terms of trade and net barter terms of trade make use of the quantity index for imports and exports
- (E) The gross barter terms of trade uses price index but the net barter terms of trade uses quantity index for imports and exports

Choose the correct answer from the options given below :

- (1) (A) and (B) only
- (2) (B) and (C) only
- (3) (C) and (E) only
- (4) (A) and (C) only

**Q58.** Which of the following are correct? [December 2021 · Q.48]

- (A) Current account includes merchandise export
- (B) Current account donot include merchandise export
- (C) Current account includes invisible export
- (D) Current account do not includes invisible export
- (E) Current account includes both merchandise exports and imports and invisible exports and imports

Choose the correct answer from the options given below :

- (1) (A), (B) and (C) only
- (2) (A), (C) and (E) only
- (3) (A), (D) and (E) only
- (4) (C), (D) and (E) only

**Q59.** Match List I with List II : [December 2021 · Q.70]

| List - I                                                                   | List - II              |
|----------------------------------------------------------------------------|------------------------|
| (A) Size matters in international trade                                    | (I) Paul Krugman       |
| (B) Economies of scale and monopolistic competition in international trade | (II) Mercantilists     |
| (C) Technological gap theory of trade                                      | (III) M.V. Posner      |
| (D) Zero sum game of trade                                                 | (IV) The gravity model |

Choose the correct answer from the options given below :

- (1) (A)-(IV), (B)-(III), (C)-(I), (D)-(II)
- (2) (A)-(IV), (B)-(I), (C)-(III), (D)-(II)
- (3) (A)-(III), (B)-(I), (C)-(IV), (D)-(II)
- (4) (A)-(III), (B)-(IV), (C)-(I), (D)-(II)

**Q60.** Arrange the following events in sequence (the oldest one being first) [December 2021 · Q.79]

- (A) The Tokyo Round
- (B) The Uruguay Round
- (C) The Annecy Round
- (D) The Dillon Round
- (E) The Torquay Round

Choose the correct answer from the options given below :

- (1) (C), (E), (D), (B), (A)
- (2) (E), (C), (A), (D), (B)
- (3) (C), (E), (D), (A), (B)
- (4) (E), (C), (D), (A), (B)

**Q61.** Given below are two statements : [December 2021 · Q.89]

Statement I : Devaluation always correct a chronic balance of payments deficit.

Statement II : An expected devaluation leads speculative capital outflows from domestic country.

In the light of the above statements, choose the correct answer from the options given below :

- (1) Both Statement I and Statement II are true
- (2) Both Statement I and Statement II are false
- (3) Statement I is true but Statement II is false
- (4) Statement I is false but Statement II is true

**Passage / data for Q.91-95** (December 2021)

Read the given passage and answer the questions:

Although globalisation is often accused of increasing world poverty, the fact is that poverty would probably be even more widespread without globalisation. What is true is that globalisation did not benefit all nations. What globalisation can be blamed for is not spreading the benefits of increased efficiency and openness that come with globalisation more evenly and equitably to all nations. The stock of Foreign Direct investments around the World states that in 2010, the inward stock of FDI of developing countries was 48 percent that of developed countries, while their stock of outward FDI was about 17 percent that of developed countries. The New International Economies of Scale (NIES) states that – more and more products manufactured by international corporations have parts and components made in many different nations. The reason is to minimise production costs. Foreign "sourcing" of inputs is often not a matter of choice to earn higher profit, but simply a requirement to remain competitive. The carry Trade is the strategy in which an investor borrows a low yielding currency and lends (invest in) a higher yielding currency. The risk is that if during the investment period, the higher yielding currency depreciates against the lower yielding currency by a higher percentage than the positive interest differentials, the investor will lose money.

**Q62.** Which of the following is true? [December 2021 · Q.91]

- (1) Because of globalisation poverty has increased in all the countries of the world
- (2) Because of globalisation poverty has reduced in all the countries of the world
- (3) Without globalisation world poverty would probably be even more widespread
- (4) Without globalisation world poverty would probably be even less widespread

**Q63.** What for globalisation has been blamed? [December 2021 · Q.92]

- (1) Globalisation has neither increased efficiency nor openness
- (2) Globalisation has increased both efficiency & openness
- (3) Globalisation has increased efficiency but not openness
- (4) Globalisation has not spreaded the benefits of increased efficiency and openness equitably to all nations

**Q64.** Which of the following reflects the most correct sense of the New International Economies of Scale (NIES) [December 2021 · Q.93]

- (1) All the parts and components of a product is manufactured in the host country only
- (2) When all the parts and components of the product manufactured in the host country, it minimize production costs in each of the producing country
- (3) Cheaper inputs from different countries are required to remain competitive
- (4) The NIES is more concern about profit rather than to remain competitive

**Q65.** During the investment period, if the higher yielding currency depreciates against the lower yielding currency by a higher percentage than the positive interest differential then which of the following will occur? [December 2021 · Q.94]

- (1) The investor will lose money
- (2) The investor will earn profit
- (3) The profit of the investor will remain unaffected
- (4) None of the above

**Q66.** Which of the following is incorrect? [December 2021 · Q.95]

- (1) The inward stock of FDI to developing countries is less than that of developed countries
- (2) The outward stock of FDI from developing countries is less than that of developed countries
- (3) Both the inward stock of FDI to developing countries and outward stock of FDI from developing countries remained higher in developing countries than developed countries
- (4) Both the inward stock of FDI to developing countries and outward stock of FDI from developing countries remained lower in developing countries than developed countries

## UGC NET December 2022 (Shift 1)

**Q67.** The birth of World Trade Organisation emerged from which round? [December 2022 S1 · Q.23]

- (1) Geneva
- (2) HongKong
- (3) Uruguay
- (4) Tokyo

**Q68.** What does the case of 'Immiserising growth' state? [December 2022 S1 · Q.37]

- (1) Growth in richer nations would actually be self defeating
- (2) Growth in poorer nations would actually be self defeating
- (3) Growth in poorer nations would actually be self promoting
- (4) Growth in richer nations would actually be self promoting

**Q69.** In which stage of the product cycle model, the imitating country starts under selling the innovating country in third markets? [December 2022 S1 · Q.38]

- (1) Stage - V
- (2) Stage - II
- (3) Stage - III
- (4) Stage - IV

**Q70.** If the nominal tariff rate ( $t$ ) on consumers of the final commodity is 10 percent; the ratio of the cost of the imported input to the price of the final commodity in the absence of tariffs  $a_i = 0.8$ ; and the nominal tariff rate on the imported input  $t_i = 20\%$ , then find the rate of effective protection. [December 2022 S1 · Q.39]

- (1) 10%
- (2) 8%
- (3) 3%
- (4) -30%

**Q71.** The level of intra-industry index ( $T$ ) can be measured as: [December 2022 S1 · Q.40]

- (1)  $T = 1 - |X - M| / (X + M)$
- (2)  $T = 1 + |X - M| / (X + M)$
- (3)  $T = 1 - (X - M) / |X + M|$
- (4)  $T = 1 - |X - M| / |X + M|$

**Q72.** The consequences of a country having a persistent current account surplus include [December 2022 S1 · Q.44]

- (A) Employment generation
- (B) Higher standard of living
- (C) Low inflation pressure
- (D) Currency appreciates in value
- (E) More pressure on public debt

Choose the correct answer from the options given below:

- (1) A, B, C and D only
- (2) A, B and D only
- (3) A and E only
- (4) A, D and E only

**Q73.** Which of the following forms the credit side of the Balance of Payments? [December 2022 S1 · Q.65]

- (A) Unilateral transfer received
- (B) Capital transfer received
- (C) Income Payments (Import of factor services)
- (D) Exports of factor services
- (E) Merchandise imports

Choose the correct answer from the options given below:

- (1) A, B and E only
- (2) B, C and D only
- (3) A, C and D only
- (4) A, B and D only

**Q74.** Match List I with List II [December 2022 S1 · Q.70]

| List - I           | List - II                                   |
|--------------------|---------------------------------------------|
| (A) GATS, Mode - 1 | (I) Cross-border trade                      |
| (B) GATS, Mode - 2 | (II) Commercial presence                    |
| (C) GATS, Mode - 3 | (III) Temporary movement of natural persons |
| (D) GATS, Mode - 4 | (IV) Consumption abroad                     |

Choose the correct answer from the options given below:

- (1) A - I, B - IV, C - III, D - II
- (2) A - I, B - IV, C - II, D - III
- (3) A - I, B - II, C - IV, D - III
- (4) A - I, B - II, C - III, D - IV

**Q75.** Arrange the following in descending order on the basis of the year of WTO Ministerial Conferences held. [December 2022 S1 · Q.78]

- (A) Cancun, Mexico Conference.
- (B) Nairobi, Kenya Conference.
- (C) Bali, Indonesia Conference.
- (D) Buenos Aires, Argentina Conference.
- (E) Seattle, United States Conference.

Choose the correct answer from the options given below:

- (1) A, C, D, B, E
- (2) D, B, C, A, E
- (3) B, C, A, E, D
- (4) E, A, C, B, D

**Q76.** Arrange the trading groups as per their year of establishment starting from the oldest [December 2022 S1 · Q.85]

- (A) European Free Trade Association
- (B) North American Free Trade Agreement
- (C) Asia Pacific Economic Cooperation
- (D) Andean Community
- (E) Association of South-East Asian Nations

Choose the correct answer from the options given below:

- (1) A, E, D, B, C
- (2) A, D, E, B, C
- (3) A, E, D, C, B
- (4) B, C, D, E, A

## UGC NET December 2022 (Shift 2)

**Q77.** According to the specific factors model, which of the following is correct? [December 2022 S2 · Q.37]

- (1) Trade benefits the factor specific to the export sector of each country but hurts the factor specific to the import-competing sectors with ambiguous effects on mobile factors
- (2) Trade hurts the factor specific to the export sector of each country and also hurts the factor specific to the import-competing sectors, with ambiguous effects on mobile factors
- (3) Trade benefits the factor specific to the import sector of each country but hurts the factor specific to the export-competing sectors, with ambiguous effects on mobile factors
- (4) Trade benefits the factor specific to the export sector as well as import-competing sector of each country, with ambiguous effects on mobile factors.

**Q78.** What does 'immiserising growth' argued? [December 2022 S2 · Q.38]

- (1) Export-biased growth by poor nations would worsen their terms of trade so much that they would be worse off than if they had not grown at all
- (2) Export-biased growth by rich nations would worsen their terms of trade so much that they would be worse off than if they had not grown at all
- (3) Import-biased growth by poor nations would worsen their terms of trade so much that they would be worse off than if they had not grown at all
- (4) Import-biased growth by Rich nations would worsen their terms of trade so much that they would be worsen off than if had not grown at all.

**Q79.** Which of the following postulates the Gravity Model correctly ? [December 2022 S2 · Q.39]

- (1) The smaller and the closer the two countries are, the smaller the volume of trade between them is expected to be
- (2) The larger and the closer the two countries are, the larger the volume of trade between them is expected to be.
- (3) The larger and the closer the two countries are, the smaller the volume of trade between them is expected to be
- (4) The smaller and farther the two countries are, the larger the volume of trade between them is expected to be.

**Q80.** If the nominal tariff rate ( $t$ ) on consumers of the final commodity is 10 per cent, the ratio of the cost of the imported input to the price of the final commodity in the absence of tariffs ( $a_i$ ) is = 0.8, and the nominal tariff rate on the imported input ( $t_i$ ) = 0, then find the rate of effective protection. [December 2022 S2 · Q.40]

- (1) 5%
- (2) 8%
- (3) 50%
- (4) 10%

**Q81.** Which of the following are part of non-tariff barriers ? [December 2022 S2 · Q.64]

- (A) Import quotas
- (B) Voluntary export restraint
- (C) Export subsidy
- (D) Compound tariff
- (E) Ad Valorem tariff.

Choose the correct answer from the options given below:

- (1) A, B and D only
- (2) A, B and E only
- (3) A, B and C only
- (4) B, C and D only

**Q82.** Marshall-Lerner condition states that: [December 2022 S2 · Q.65]

- (A) Devaluation will improve the country's balance of payments if the sum of price elasticities of demand for exports and imports in absolute terms is greater than one.
- (B) Devaluation will increase the balance of payments deficit if the sum of the price elasticities of demand for exports and imports is less than one.
- (C) Devaluation will have no effect on the balance of payment situation if the sum of the price elasticities of demand for exports and imports is equal to one
- (D) In no case, devaluation can improve the balance of payment disequilibrium if either the price elasticities of demand for export or that of import is zero.
- (E) Marshall-Lerner condition has no relation with BOP situation.

Choose the correct answer from the options given below:

- (1) A, B and E only
- (2) B, C and D only
- (3) C, D and A only
- (4) A, B and C only

**Q83.** Match List I with List II [December 2022 S2 · Q.70]

| List - I             | List - II                                                                                        |
|----------------------|--------------------------------------------------------------------------------------------------|
| (A) Metzler Paradox  | (I) Violation of Stolper-Samuelson theorem                                                       |
| (B) Beachhead Effect | (II) Exporters may be reluctant to increase prices by the full amount of the dollar depreciation |
| (C) Dutch disease    | (III) Loss of relative competitiveness in its traditional industrial sector                      |
| (D) J Curve          | (IV) Nation's trade balance may actually worsen soon after devaluation or depreciation.          |

Choose the correct answer from the options given below:

- (1) A-II, B-III, C-IV, D-I
- (2) A-III, B-IV, C-II, D-I
- (3) A-I, B-II, C-III, D-IV
- (4) A-IV, B-III, C-II, D-I

**Q84.** Arrange the following organizations as per their years of establishment starting from the oldest. [December 2022 S2 · Q.85]

- (A) WTO
- (B) ADB
- (C) UNCTAD
- (D) World Bank
- (E) WIPO.

Choose the correct answer from the options given below:

- (1) D, C, B, E, A
- (2) D, B, C, E, A
- (3) D, B, C, A, E
- (4) D, B, A, C, E

**Q85.** Given below are two statements : [December 2022 S2 · Q.89]

Statement I : Countries always want to have foreign markets open for their exporters. But if a country limits access to its own market, foreign countries may take action to limit access to their own market.

Statement II : Trade agreement can help lower barrier to international commerce, but countries still have to believe that other countries are "playing fair".

In the light of the above statements, choose the correct answer from the options given below:

- (1) Both Statement I and Statement II are true
- (2) Both Statement I and Statement II are false
- (3) Statement I is true but Statement II is false
- (4) Statement I is false but Statement II is true

**Passage / data for Q.96-100** (December 2022 S2)

Read the following passage and answer the questions.

India's Presidency of the Group Twenty (G-20) is a matter of great pride for all Indians. The G-20 is an intergovernmental forum consisting of 19 countries such as Argentina, Australia, Brazil, Canada, China, France, Germany, India, Indonesia, Italy, Japan, Republic of Korea, Mexico, Russia, Saudi Arabia, South Africa, Turkey, United Kingdom and United States and the European Union. The G-20 was founded in 1999 after the Asian financial crises as a forum for international economic cooperation. The size of G-20 indicates its relevance in the global economy. The G-20 members represent around 85% of the global GDP, over 75% of the global trade and 67% of world population. The G-20 summit is held annually under the leadership of a rotating presidency. India assumed the G-20 presidency from Indonesia on December 1, 2022 and will convene the G-20 leaders' summit for the first time in the country in 2023. The theme of India's G-20 presidency is "Vasudhaiva Kutumbakam", that is, "One Earth, One family and One future" closely ties with LIFE (Lifestyle for Environment). The G-20 presidency steers the G-20 agenda for one year and hosts the summit. The G-20 consists of two parallel tracks : the Finance track and the Sherpa track. Finance ministers and Central Bank Governors lead the finance track, while Sherpas lead the Sherpa track. India's G-20 priorities are Green Development, Climate finance and life; Accelerated inclusive and resilient growth; Accelerating progress on SDGs; Technological transformation and Digital public infrastructure; Multilateral institutions for the 21st century; and Women Led development. India kickstarted its presidency term agenda with a series of initiatives and meetings. As a part of this, India will host over 200 meetings in over 50 cities across 32 different work streams before conducting the annual G-20 summit in Delhi in September 2023. The 43 Heads of Delegations, the largest ever in G-20 will be participating in the final summit. Conducting of this summit definitely increases India's standing in the global order. It is a great opportunity to showcase India's cultural heritage, culture and achievements to global leaders and India's commitment for global sustainable development.

**Q86.** For which purpose G-20 was originally founded ? [December 2022 S2 · Q.96]

- (1) to discuss international peace and counter-terrorism issues
- (2) to discuss global economic and financial issues
- (3) to discuss climate change and environmental issues
- (4) to discuss resolving the war between Russia and Ukraine

**Q87.** Which one of the followings is not India's G-20 priorities? [December 2022 S2 · Q.97]

- (1) Multilateral Institutions for 21st century
- (2) Women-led development
- (3) Development and sustained border
- (4) Technological transformation and digital public infrastructure.

**Q88.** The size of G-20 in terms of world population, global GDP and global trade respectively is:

[December 2022 S2 · Q.98]

- (1) 85%, 75% and 85%
- (2) 67%, 75% and 85%
- (3) 85%, 67% and 75%
- (4) 67%, 85% and 75%

**Q89.** The theme of India's G-20 presidency is tied closely with — [December 2022 S2 · Q.99]

- (1) Vasudhaiva Kutumbakam
- (2) One earth, one family and one future
- (3) Technology, Infrastructure and SDG
- (4) Life style for environment

**Q90.** The tracks in G-20 are : [December 2022 S2 · Q.100]

- (1) Finance track and Sherpa track
- (2) Sherpa track and Economics track
- (3) Climate track and Sherpa track
- (4) Sherpa track and SDGs track

### UGC NET June 2023 (20 June 2023)

**Q91.** A tariff ridden offer curve will bend towards, [June 2023 · Q.68]

- (1) Import good axis
- (2) Export good axis
- (3) Origin
- (4) Any of the above is possible

**Q92.** Factor price equalization theorem is given by, [June 2023 · Q.69]

- (1) David Ricardo
- (2) J. S. Mill
- (3) Paul Samuelson
- (4) Adam Smith

**Q93.** In which of the following year IMF has set up the Extended Fund Facility (EFF) to support member's structural reforms to address balance of payment difficulties of a long term character.

[June 2023 · Q.70]

- (1) 1974
- (2) 1997
- (3) 1963
- (4) 2009

**Q94.** A foreign exchange swap is [June 2023 · Q.72]

- (1) a spot purchase of a currency combined with a forward repurchase of that currency.
- (2) a spot sale of a currency combined with a forward repurchase of that currency.
- (3) sale and purchase of a currency in forward market.
- (4) purchase of a currency in spot market.

**Q95.** The Uruguay Round of trade negotiations called for [June 2023 · Q.98]

- (A) the reduction of average tariffs on industrial goods
- (B) quotas to be replaced by tariffs
- (C) the reduction in agriculture export subsidies
- (D) the reduction in industrial subsidies
- (E) antidumping and safeguards to be relaxed

Choose the correct answer from the option given below :

- (1) A, B, C, D only
- (2) B, C, D, E only
- (3) C, D, E, A only
- (4) D, E, A, B only

**Q96.** Which of the following statements are correct about trilemma in monetary policy [June 2023 · Q.100]

- (A) It is related to closed economy model.
- (B) It involves exchange rate, capital mobility and monetary policy.
- (C) It arises because perfect capital mobility aligns the domestic interest rate to the world interest rate.
- (D) Flexible exchange rate is not compatible with independent monetary policy.
- (E) It is related to capital immobility and flexible exchange rate.

Choose the correct answer from the option given below :

- (1) B and C only
- (2) C and D only
- (3) A and D only
- (4) B and E only

**Q97.** Here is given international organisations and their headquarters. Which of the following are correct combinations of the institutions and their headquarters. [June 2023 · Q.114]

- (A) GATT : Geneva
- (B) IMF : Washington DC
- (C) World Bank : Washington DC
- (D) International Development Association (IDA) : New York
- (E) Asian Development Bank : Mandaluyong

Choose the correct answer from the option given below :

- (1) A, B and C only
- (2) A and B only
- (3) C and D only
- (4) A, B, C and E only

**Q98.** Arrange the following in ascending order on the basis of degree of economic integration. [June 2023 · Q.127]

- (A) Custom Union
- (B) Free Trade Area
- (C) Economic Union
- (D) Common Market
- (E) Preferential Trade Arrangements

Choose the correct answer from the option given below :

- (1) A, B, C, D, E
- (2) B, C, D, A, E
- (3) E, A, B, C, D
- (4) E, B, A, D, C

**Q99.** Give below are two statements : One is labelled as Assertion A and the other is labelled as Reason R : [June 2023 · Q.136]

Assertion A : If governments do not care about protectionists' rents, they would replace all import duties with sales taxes.

Reason R : Sales tax is more efficient means of raising revenue than import tariff.

In the light of the above statements, choose the correct answer from the options given below :

- (1) Both A and R are true and R is the correct explanation of A.
- (2) Both A and R are true but R is NOT the correct explanation of A.
- (3) A is true but R is false.
- (4) A is false but R is true.

**Q100.** Give below are two statements : [June 2023 · Q.139]

Statement - I : The terms of trade of a nation are defined as the ratio of the cost of its export commodity to the price of its import commodity.

Statement - II : The terms of trade of the trade partner are equal to the inverse of the terms of trade of the other nation.

In the light of the above statements, choose the correct answer from the options given below:

- (1) Both Statement I and Statement II are true.
- (2) Both Statement I and Statement II are false.
- (3) Statement I is true but Statement II is false.
- (4) Statement I is false but Statement II is true.

### UGC NET December 2023 (12 Dec 2023, Shift 1)

**Q101.** Suppose India is the home country and USA is the foreign country. The interest rates in India and USA are 6% and 4% respectively. The exchange rate of US Dollar is Rs. 80 today but is expected to rise to Rs. 84 in one year. Which of the following is true, according to the uncovered interest arbitrage parity condition ? [December 2023 S1 · Q.58]

- (1) Capital will flow into the Indian economy
- (2) Capital will flow out of the Indian economy
- (3) No capital flows
- (4) Can't say on the basis of the information provided

**Q102.** Under the flexible exchange rate, if the current account deficit increases and the capital account surplus increases for an economy, the exchange rate (domestic currency per US dollar) would : [December 2023 S1 · Q.88]

- (1) Appreciate
- (2) Depreciate
- (3) Depends on which one is higher
- (4) Not depend on the BoP situation

**Q103.** Consider the following statements about the Current Account of the balance of payments and indicate which statements are true ? [December 2023 S1 · Q.98]

- (A) Current Account deficit equals excess of imports over sum of exports and net transfers received by a country.
- (B) Current Account deficit may be covered by borrowing from foreigners.
- (C) Current Account deficit may be covered by buying assets from foreigners.
- (D) If India's Current Account deficit in a particular period is \$ 50 million, it can be financed by net capital inflows amounting to \$ 50 million.

Choose the correct answer from the options given below :

- (1) (A), (B), (C), (D)
- (2) (A), (B), (D) Only
- (3) (A), (C), (D) Only
- (4) (B), (C), (D) Only

**Q104.** Suppose India is home country and USA is foreign country. Interest rate in India is 3%, that in US is 1%. The Re-\$ exchange rate is Rs. 80 per USD in spot market and Rs. 81 per USD in 3 month forward market. Which of the following are true for the resulting covered interest arbitrage flows ? [December 2023 S1 · Q.99]

- (A) Indian Rupee will depreciate in spot market
- (B) Indian Rupee will depreciate in forward market
- (C) Interest rate will decline in India
- (D) Interest rate will decline in US

Choose the correct answer from the options given below :

- (1) (A) and (B) Only
- (2) (A) and (C) Only
- (3) (A) and (D) Only
- (4) (A), (B), (C) and (D)

**Q105.** The current account deficit of the BOP may be financed in many ways. Which of the following are correct ? [December 2023 S1 · Q.100]

- (A) FDI inflows
- (B) Inflow of foreign portfolio investment
- (C) Borrowing from IMF or World Bank
- (D) Drawing down foreign exchange reserves

Choose the correct answer from the options given below :

- (1) (A), (B), (C) Only
- (2) (B), (C), (D) Only
- (3) (A), (B), (C), (D)
- (4) (A), (C), (D) Only

**Q106.** Consider the following statements about the Specific Factors model of International Trade and say which ones are correct ? [December 2023 S1 · Q.101]

- (A) Factors specific to the export sectors in each country gain from trade
- (B) Factors specific to the import-competing sectors in each country lose from trade
- (C) Mobile factors that can work in either sector may gain from trade
- (D) Mobile factors that can work in either sector may lose from trade

Choose the correct answer from the options given below :

- (1) (A), (C), (D) Only
- (2) (B), (C), (D) Only
- (3) (A), (B), (C) Only
- (4) (A), (B), (C), (D)

**Q107.** The Central Bank of a country maintains a fixed exchange rate, which is defined as the number of units of domestic currency per unit of foreign currency. Currently the domestic currency is overvalued against the foreign currency. In this context, indicate the kind of intervention required by the Central Bank to maintain the parity, by putting the following statements in correct order. [December 2023 S1 · Q.135]

- (A) The demand for foreign currency exceeds its supply
- (B) The exchange rate is lower than the market clearing exchange rate
- (C) The gap between supply and demand for foreign currency is equalized
- (D) The Central Bank's stock of foreign currency is depleted
- (E) The Central Bank sells foreign currency from its stock of reserves

Choose the correct answer from the options given below :

- (1) (B), (E), (A), (D), (C)
- (2) (B), (A), (E), (D), (C)
- (3) (B), (E), (A), (C), (D)
- (4) (B), (A), (E), (C), (D)

### UGC NET August 2024 (28 Aug 2024, Shift 1)

**Q108.** When imports are restricted with quota rather than a tariff, the cost is sometimes magnified by a process known as [August 2024 S1 · Q.64]

- (1) Rent seeking
- (2) quota seeking
- (3) Tax Seeking
- (4) None of the above

**Q109.** Among the following which is/are attempt of economic integration among developing countries? [August 2024 S1 · Q.68]

- (1) The central American common market
- (2) The caribbean free trade association
- (3) The Latin American free trade association
- (4) All of the above

**Q110.** Arrange the following theories in correct chronological order, starting from earliest to latest: [August 2024 S1 · Q.98]

- (A) Absorption approach
- (B) Factor Price Equalisation theory
- (C) Reciprocal Dumping Model
- (D) Leontief Paradox
- (E) Immiserizing Growth Theory

Choose the correct answer from the options given below:

- (1) (B), (D), (A), (E), (C)
- (2) (D), (A), (B), (C), (E)
- (3) (E), (D), (B), (A), (C)
- (4) (D), (A), (C), (E), (B)

**Q111.** India is a member of which of the following institutions of the world bank group? [August 2024 S1 · Q.109]

- (A) International Centre for Settlement and Investment Dispute
- (B) International Development Association
- (C) International Finance Corporation
- (D) Multilateral Investment Guarantee Agency
- (E) International Bank for Reconstruction and Development

Choose the correct answer from the options given below:

- (1) (A), (B), (C) only
- (2) (B), (C), (D) only
- (3) (B), (C), (D), (E) only
- (4) (A), (B), (D), (E) only

**Q112.** The secular deterioration of terms of trade for low developed countries has been explained by: [August 2024 S1 · Q.112]

- (A) J.S. Mill
- (B) H.W. Singer
- (C) Adam Smith
- (D) Raul Prebisch
- (E) Jagdish Bhagwati

Choose the correct answer from the options given below:

- (1) (B), (D), (E) only
- (2) (A), (B), (D) only
- (3) (A), (D), (E) only
- (4) (C), (D), (E) only

**Q113.** As per the Gravity Model of world trade, which of the following components of the two countries determine the volume of trade between them: [August 2024 S1 · Q.113]

- (A) Gross Domestic Product
- (B) Distance
- (C) Foreign exchange rate
- (D) Foreign trade intensity
- (E) Foreign investment

Choose the correct answer from the options given below:

- (1) (A) and (B) only
- (2) (B) and (C) only
- (3) (A) and (C) only
- (4) (A) and (E) only

**Q114.** Which of the following is/are possible reason(s) for surplus in balance of payment? [August 2024 S1 · Q.120]

- (A) Decline in imports
- (B) Decline in interest rate
- (C) Increase in export
- (D) Increase in income tax
- (E) High outward foreign direct investment

Choose the most appropriate answer from the options given below:

- (1) (A), (C), (E) only
- (2) (A), (B), (C), (E) only
- (3) (B), (C), (E), (D) only
- (4) (A), (C) only

**Q115.** Match List - I with List - II. [August 2024 S1 · Q.130]

| List - I              | List - II                                              |
|-----------------------|--------------------------------------------------------|
| (A) Ad Valorem Tariff | (I) Fixed sum per unit                                 |
| (B) Autarky           | (II) Combination of Ad Valorem and specific tariff     |
| (C) Compound Tariff   | (III) No trade with other countries                    |
| (D) Specific Tariff   | (IV) A percentage of the value of the traded commodity |

Choose the correct answer from the options given below:

- (1) (A)-(I), (B)-(II), (C)-(III), (D)-(IV)
- (2) (A)-(IV), (B)-(III), (C)-(II), (D)-(I)
- (3) (A)-(IV), (B)-(I), (C)-(II), (D)-(III)
- (4) (A)-(III), (B)-(II), (C)-(I), (D)-(IV)

**Q116.** Match List - I with List - II. [August 2024 S1 · Q.133]

| List - I                  | List - II                                                                                    |
|---------------------------|----------------------------------------------------------------------------------------------|
| (A) Arbitrage             | (I) refers to when an investor accepts and seeks Foreign exchange risk                       |
| (B) Hedging               | (II) refers to a time when foreign exchange shifts, causing the spot rate to vary frequently |
| (C) Speculation           | (III) refers to purchase of currency in monetary center where it is cheaper                  |
| (D) Foreign exchange risk | (IV) refers to avoidance of foreign exchange risk                                            |

Choose the correct answer from the options given below:

- (1) (A)-(III), (B)-(IV), (C)-(I), (D)-(II)
- (2) (A)-(I), (B)-(III), (C)-(II), (D)-(IV)
- (3) (A)-(I), (B)-(III), (C)-(IV), (D)-(II)
- (4) (A)-(I), (B)-(IV), (C)-(III), (D)-(II)

**Q117.** Match List - I with List - II. [August 2024 S1 · Q.134]

| List - I                             | List - II                                                                          |
|--------------------------------------|------------------------------------------------------------------------------------|
| (A) Labour capital ratio             | (I) The price of a commodity determined by exclusively from its labour content     |
| (B) Labour intensive commodity       | (II) The commodity with lower capital-labour ratio at all relative factor prices   |
| (C) Labour theory of value           | (III) The amount of labour per unit of capital used                                |
| (D) labour saving technical progress | (IV) It increases the productivity of capital proportionately more than the labour |

Choose the correct answer from the options given below:

- (1) (A)-(III), (B)-(II), (C)-(I), (D)-(IV)
- (2) (A)-(II), (B)-(III), (C)-(I), (D)-(IV)
- (3) (A)-(I), (B)-(II), (C)-(III), (D)-(IV)
- (4) (A)-(I), (B)-(II), (C)-(IV), (D)-(III)

**Q118.** Match LIST-I with LIST-II [December 2024 · Q.63]

| List - I                                    | List - II                          |
|---------------------------------------------|------------------------------------|
| (A) Supply side of international trade      | (I) David Ricardo                  |
| (B) Demand side of international trade      | (II) Bastable and Alfred Marshall  |
| (C) Opportunity cost of international trade | (III) G. Haberler                  |
| (D) Real cost theory of international trade | (IV) Alfred Marshall and Edgeworth |

Choose the correct answer from the options given below:

- (1) A-I, B-IV, C-III, D-II
- (2) A-I, B-IV, C-II, D-III
- (3) A-II, B-I, C-III, D-IV
- (4) A-IV, B-III, C-II, D-I

**Q119.** Which of the following is/are not applicable to classical theory of trade? [December 2024 · Q.64]

- (A) Labour theory of value
- (B) One factor model
- (C) It satisfies zero - sum game
- (D) It is a multi - factor model
- (E) Factors of production are mobile domestically and internationally

Choose the correct answer from the options given below:

- (1) A, B Only
- (2) B, C Only
- (3) D, E Only
- (4) C, D, E Only

**Q120.** Which is/are, not modern theory of trade? [December 2024 · Q.66]

- (A) Human Skills Theory
- (B) Factor proportions Theory
- (C) Product Cycle Theory
- (D) Offer Curve Analysis
- (E) Monopolistically Competitive Trade Theory

Choose the correct answer from the options given below:

- (1) A Only
- (2) A, B Only
- (3) B, D Only
- (4) C, D, E Only

**Q121.** Which of the following trade models exhibits the features of economies of scale and monopolistic competition? [December 2024 · Q.77]

- (1) The Kemp Model
- (2) The Intra - Industry Trade Model
- (3) The Krugman Trade Model
- (4) The Falvey Model

**Q122.** Match LIST-I with LIST-II [December 2024 · Q.92]

| List - I                                                            | List - II              |
|---------------------------------------------------------------------|------------------------|
| (A) Gross barter terms of trade                                     | (I) Jacob Viner        |
| (B) Single factorial terms of trade                                 | (II) Dorrance          |
| (C) Income terms of trade                                           | (III) C. W. Taussing   |
| (D) Secular deterioration in terms of trade of developing countries | (IV) Prebisch - Singer |

Choose the correct answer from the options given below:

- (1) A-I, B-II, C-III, D-IV
- (2) A-II, B-I, C-IV, D-III
- (3) A-IV, B-III, C-II, D-I
- (4) A-III, B-I, C-II, D-IV

**Q123.** Arrange the following from earlier to the latest [December 2024 · Q.97]

- (A) Price - Specie - Flow Mechanism
- (B) Comparative Advantage
- (C) Absolute Advantage
- (D) Intra - Industry Trade
- (E) Mercantilism

Choose the correct answer from the options given below:

- (1) A, B, C, D, E
- (2) B, A, D, C, E
- (3) E, A, C, B, D
- (4) E, D, C, B, A

**Q124.** Which of the following is/are true for international monetary system? [December 2024 · Q.99]

- (A) Gold exchange standard
- (B) OPEC
- (C) Bretton Woods System
- (D) Law of one price
- (E) Asian Development Bank

Choose the correct answer from the options given below:

- (1) A Only
- (2) A, B Only
- (3) A, B, C Only
- (4) A, C, D Only

**Q125.** Which of the following does/do not come under exchange rate? [December 2024 · Q.110]

- (A) Export activities
- (B) Open market operations
- (C) Interest rate
- (D) Import activities
- (E) Multiple expansion of credit

Choose the correct answer from the options given below:

- (1) A Only
- (2) B Only
- (3) C, D Only
- (4) B, E Only

**Q126.** Which of the following is/are not the definition of gains from trade? [December 2024 · Q.115]

- (A) It is the benefit individuals and countries derive from participating in international trade.
- (B) It is the gross benefit to economic agents that results from an increase in trade
- (C) It is the deduction of consumer surplus from producer surplus
- (D) It is the net benefit to economic agents that results from an increase in trade
- (E) It is the sum total of producer surplus and consumer surplus

Choose the correct answer from the options given below:

- (1) A Only
- (2) B, C Only
- (3) C, D Only
- (4) C, D, E Only

**Q127.** Match LIST-I with LIST-II [December 2024 · Q.121]

| List - I            | List - II                                                                                                                                                            |
|---------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| (A) Free Trade Area | (I) All tariffs are removed between members and a common external trade policy is adopted for non-members.                                                           |
| (B) Customs Union   | (II) All tariffs are removed between members and the group adopts a common external commercial policy toward nonmembers.                                             |
| (C) Common Market   | (III) All members of the group remove tariffs on each other's products and at the same time retains its independence in establishing trading prices with non-members |
| (D) Economic Union  | (IV) Most comprehensive advanced stage of integration                                                                                                                |

Choose the correct answer from the options given below:

- (1) A-III, B-II, C-I, D-IV
- (2) A-I, B-II, C-III, D-IV
- (3) A-II, B-I, C-IV, D-III
- (4) A-IV, B-III, C-II, D-I

### UGC NET June 2025 (29 June 2025, Shift 2)

**Q128.** The Stolper-Samuelson theorem postulates that: [June 2025 S2 · Q.74]

- (1) An increase in the relative price of a commodity raises the earnings of the factor used intensively in the production of the commodity.
- (2) An increase in the relative price of a commodity decreases the earnings of the factor used intensively in the production of the commodity.
- (3) An increase in the relative price of a commodity raises the earnings of the factor used scarcely in the production of the commodity.
- (4) A decrease in the relative price of a commodity raises the earnings of the factor used intensively in the production of the commodity.

**Q129.** Which of the following correctly state the formula to compute the rate of effective protection? [June 2025 S2 · Q.75]

Where,  $g$  = the rate of effective protection to producers of final commodities,  $t$  = the nominal tariff rate on consumers of the final commodity,  $t_i$  = the nominal tariff rate on the imported input and  $a_i$  = the ratio of the cost of the imported input to the price of the final commodity in the absence of tariffs.

- (1)  $g = (t - a_i \cdot t_i) / (1 - a_i)$
- (2)  $g = (t + a_i \cdot t_i) / (1 - a_i)$
- (3)  $g = (t - a_i \cdot t_i) / (1 + a_i)$
- (4)  $g = (t + a_i \cdot t_i) / (1 + a_i)$

**Q130.** In the product cycle model of International trade, in which stage the imitating country starts underselling the innovating country in third markets? [June 2025 S2 · Q.76]

- (1) Stage-II
- (2) Stage-III
- (3) Stage-IV
- (4) Stage-V

**Q131.** Arrange the following crisis in chronological order (starting from oldest). [June 2025 S2 · Q.91]

- (A) OPEC Oil Crisis
- (B) International Debt Crisis
- (C) East Asian Financial Crisis
- (D) Argentinian Economic Crisis
- (E) Eurozone Crisis

Choose the correct answer from the options given below:

- (1) A, B, C, D, E
- (2) A, B, C, E, D
- (3) A, B, E, C, D
- (4) A, E, B, C, D

**Q132.** Arrange the following rounds in chronological order (starting from oldest). [June 2025 S2 · Q.92]

- (A) Millennium Round of Trade negotiations
- (B) Doha Round
- (C) Uruguay Round
- (D) Kennedy Round
- (E) Tokyo Round

Choose the correct answer from the options given below:

- (1) D, E, C, B, A
- (2) D, E, B, C, A
- (3) D, B, E, C, A
- (4) D, E, C, A, B

**Q133.** Which of the following indicate that country "B" is capital abundant country? [June 2025 S2 · Q.114]

- (A)  $(\text{Total Capital} / \text{Total Labour})_B > (\text{Total Capital} / \text{Total Labour})_A$
- (B)  $(\text{Total Capital} / \text{Total Labour})_B < (\text{Total Capital} / \text{Total Labour})_A$
- (C)  $(\text{Price of Capital} / \text{Price of Labour})_B < (\text{Price of Capital} / \text{Price of Labour})_A$
- (D)  $(\text{Price of Capital} / \text{Price of Labour})_B > (\text{Price of Capital} / \text{Price of Labour})_A$
- (E)  $(\text{Total Labour} / \text{Total Capital})_B > (\text{Price of Capital} / \text{Price of Labour})_A$

Choose the correct answer from the options given below:

- (1) A & B Only
- (2) A & C Only
- (3) B & D Only
- (4) C & E Only

**Q134.** Which of the following comprises the current account of the balance of payments? [June 2025 S2 · Q.115]

- (A) Invisible exports and imports
- (B) Direct investment
- (C) Unilateral transfers
- (D) SDR allocations
- (E) Borrowings from foreign countries

Choose the correct answer from the options given below:

- (1) A & E Only
- (2) C & E Only
- (3) A & C Only
- (4) A & B Only

**Q135.** Match List - I with List - II [June 2025 S2 · Q.132]

| List - I                                       | List - II                            |
|------------------------------------------------|--------------------------------------|
| (A) Specific factors model                     | (I) Prebisch-Singer hypothesis       |
| (B) Immiserizing growth                        | (II) Thomas Mun                      |
| (C) Mercantilism theory of international trade | (III) Jagdish Bhagwati               |
| (D) Secular deterioration of terms of trade    | (IV) Paul Samuelson and Ronald Jones |

Choose the correct answer from the options given below:

- (1) A-III, B-IV, C-II, D-I
- (2) A-IV, B-III, C-II, D-I
- (3) A-IV, B-II, C-III, D-I
- (4) A-II, B-IV, C-I, D-III

**Q136.** Match List - I with List - II [June 2025 S2 · Q.133]

| List - I                                                     | List - II                 |
|--------------------------------------------------------------|---------------------------|
| (A) Income induced adjustment process of balance of payments | (I) Paul Samuelson        |
| (B) Absorption approach of BoPs                              | (II) Keynes, J.M.         |
| (C) Impossible trinity                                       | (III) Sidney S. Alexander |
| (D) Factor price equalization theorem                        | (IV) Mundell-Fleming      |

Choose the correct answer from the options given below:

- (1) A-I, B-II, C-III, D-IV
- (2) A-II, B-III, C-IV, D-I
- (3) A-II, B-III, C-I, D-IV
- (4) A-II, B-I, C-III, D-IV

**UGC NET December 2025 (Exam held 31 Dec 2025 - 7 Jan 2026)**

**Q137.** Given below are two statements: one is labelled as Assertion (A) and the other is labelled as Reason (R). [December 2025 · Q.70]

Assertion (A): Since about the mid-seventies, protectionism has grown alarmingly in the developed countries. This has taken mainly the form of non-tariff barriers (NTBs).

Reason (R): The growing protectionism in industrialised countries is due to the increasing competition from developing and the South-East Asian countries.

In the light of the above statements, choose the most appropriate answer from the options given below:

- (1) Both (A) and (R) are correct and (R) is the correct explanation of (A)
- (2) Both (A) and (R) are correct but (R) is not the correct explanation of (A)
- (3) (A) is correct but (R) is not correct
- (4) (A) is not correct but (R) is correct

**Q138.** 'The Salmon War' was between: [December 2025 · Q.74]

- (1) USA and Cuba
- (2) France and UK
- (3) Norway and Scotland
- (4) Sweden and Germany

**Q139.** Match List - I with List - II. [December 2025 · Q.91]

| List - I                      | List - II                                  |
|-------------------------------|--------------------------------------------|
| (A) Neo-Chamberlinian Model   | (I) Horizontal differentiation of products |
| (B) Neo-Hotelling Model       | (II) Vertical differentiation of products  |
| (C) Brander-Krugman Model     | (III) Product differentiation              |
| (D) Neo-Heckscher-Ohlin Model | (IV) Reciprocal dumping                    |

Choose the correct answer from the options given below:

- (1) A-IV, B-III, C-I, D-II
- (2) A-I, B-II, C-IV, D-III
- (3) A-I, B-III, C-II, D-IV
- (4) A-III, B-I, C-IV, D-II

**Q140.** When some domestic production by a nation member of the Union is replaced by lower-cost imports from another member nation, then the Union is known as: [December 2025 · Q.97]

- (1) Trade Diverting Customs Union
- (2) Trade Creating Customs Union
- (3) Preferential Trade Agreement
- (4) Free Trade Agreement

**Q141.** (A) Globalisation carries benefits and opportunities as well as costs and risks [December 2025 · Q.127]

- (B) Globalisation leads to flow of capital, technology, goods and services across countries
- (C) The larger the market, the greater the gains from trade and the division of labour
- (D) Globalisation in terms of flow of capital, goods and technology is evenly spread across world nations

Choose the correct answer from the options given below:

- (1) A, B and C only
- (2) A, B and D only
- (3) B and D only
- (4) B, C and D only

**Passage / data for Q.146-150** (December 2025)

The present international economic relations have been least influenced by multilateral forums. Multilateral economic institutions' meetings are not considered seriously by the leaders of important nations. In the past, it was heard that many world leaders were speaking against WTO and prioritising their national interest. Even the forum of WTO was used to speak against the multi-lateral trade.

In the beginning of 1980s, the world was moving towards globalisation and the multi-lateral lending and trade forums played a crucial role in the economic and trade negotiations. Slowly regional economic associations and bilateral trade forums took the centre stage. The exit of Britain from the European Union and frequent disruptions in the WTO forums and many statements of the U.S president and many European leaders were giving the message that globalisation is coming to an end.

Recent imposition of high tariff on Indian exports and various measures by the USA violate free and fair trade ensured by the multi-lateral trade and investment forums, are matters of serious concerns. Trade disruptions are never becoming an issue for consideration of the appropriate forums at the international level. People start questioning the relevance of a long lists of economic and political institutions built after the second world war with much enthusiasm and high expectations. Do the present developments indicate a turning point for a new world order?

**Q142.** The important challenge to WTO: [December 2025 · Q.146]

- (1) Regional Economic Associations and bilateral trade forums
- (2) The exit of Britain from European Union
- (3) International economic relations not influenced by multilateral forums
- (4) World moving towards post-globalisation world order

**Q143.** What violates free and fair trade? [December 2025 · Q.147]

- (1) Imposition of high and unfair tariffs
- (2) Weak structure of Regional economic associations and bilateral trade forums
- (3) World leaders speaking in favour of WTO
- (4) Keen interest by the USA and Europe

**Q144.** The Passage conveys about: [December 2025 · Q.148]

- (1) Multilateral institutions have accepted their weaknesses.
- (2) Reforms in multilateral institutions
- (3) W.T.O. is becoming more important
- (4) Powerful nations are undermining the role of multilateral institutions for their national interest

**Q145.** Globalisation is an outcome of: [December 2025 · Q.149]

- (1) Exit of Britain from the European union
- (2) Initiatives of the USA
- (3) The role played by the multilateral lending and trade forums
- (4) The outcome of second world war

**Q146.** The nature of present international economic relations: [December 2025 · Q.150]

- (1) USA and European countries are not violating international understandings
- (2) Multilateral forums are relegated to the background
- (3) Increased role is given to multilateral economic and political institutions
- (4) World leaders are giving message that globalisation is improving